

The Centre-State Relation

*The Constitution of India being Federal in structure, divides all powers (legislative, executive and financial) between the Centre and the States.

Legislative Relations

***Articles 245 to 255** in part XI of the Constitution deal with legislative relations between the centre and the States.

*According to Article 245 (I), the Parliament can make laws for the whole or any part of the Territory of India and the State Legislature can make laws for the whole or **any part of the state**.

*Article 247 empowers the Parliament to **provide** for the establishment of certain **additional courts**.

*Article 248 deals with Residuary powers of legislation, the power to make laws with respect to any matter not enumerated in the concurrent or State list is vested in the Parliament. *Article 246 deals with subject matters of laws made by Parliament and by the legislatures of the States. *The Constitution provides for a three-fold distribution of legislative subjects between the centre and the state i.e. List I (the Union list), List II (the state list), List III (the concurrent List). The 7th schedule of the Constitution deals with **the division of powers** between the centre and the state.

101st Constitutional **Amendment Act, 2016**, added Articles 246A: Notwithstanding anything contained in Article 246 and 254, Parliament, and subject to **clause (2)**, the legislature of every state, has the power to make laws **with respect to goods and services tax** imposed by the Union or by such State. *Article 249 deals with the Power of **Parliament to legislate with respect to a matter in the state list in the national interest**. *If the Rajya Sabha declares by resolutions that it is necessary in the national interest that Parliament should make laws on a matter in the state list, then the Parliament becomes competent to make laws on that matter. *Such a resolution must be supported by not less than 2/3rd of the members present and voting.

*Article 250 (1) empowers the Parliament to legislate with respect to a matter in the state list if a proclamation of emergency is in operation, Article 251 states that if there is an inconsistency between laws made by Parliament under **Art. 249 & Art 250** and laws made by the legislature of States, then the laws made by the Parliament shall prevail. *Article 252 deals with the power of Parliament to legislate for two or more States by consent and adoption of such legislation by any other state. *Article 253 deals with legislations giving effect to international agreements. The Parliament can make laws on any matter in the state list for implementing the international treaties, agreements and conventions. This provision enables the Central Government to fulfil its international obligations and commitments.

Administrative Relations :

***Articles 256 to 263** in Part XI of the Constitution deals with the administrative relations between the Centre and States.

*Article 256 deals with the obligations of States and the Union.

*The executive power of every state shall be so exercised as to ensure compliance with Union's laws.

*Article 257 deals with the control of the Union over States in certain cases.

*Article 258 deals with the power of the Union to confer powers, etc, on States in certain cases. *Accordingly the President may, with the consent of the state government, entrust to that government **functions** in relation to any matter to which the executive power of union extends. *Article 262 (1) deals with Adjudication of disputes relating to water of inter-state rivers or valleys. *Article 263 allows the President to establish an Inter-state Council to investigate and discuss subjects of common interest between the centre and the States. Such a council was setup on 28 May, 1990.

Financial Relations :

***Articles 264 to 293** in part XII of the Constitution deal with **centre-state financial relations**. *Article 265 of the Indian Constitution deals with levy of tax. The article States that "No tax shall be **levied or collected** except by the authority of law." *Article 266 (1) of the Constitution of India deals with the establishment of **a Consolidate Fund** of India, where all **revenues received by union government** as well as all loans and all money received by the Union Government in repayment of loans shall form the part of the fund. The Contingency Fund of India is established under Article 267 (1) of the Constitution. By The Constitution (One Hundred and first Amendment) Act, 2016, **Article 279 A was added for Goods and Services Tax Council**. *According to Article 267 (2) the legislature of the State may by law establish a Contingency Fund in the nature of an imprest to be entitled the Contingency Fund of the State. *Article 275 deals with the Grants allocated by the Union **to certain States**. ***A new Article 269A has been** inserted into the Constitution by 'The Constitution (one hundred and first Amendment) Act, 2016. This Article deals with levy and collection of goods and services tax in course of inter-state trade or commerce. *According to Article 280 (1) of the Constitution of India, a Finance Commission should be set up as a quasi judicial body. *It was to be constituted by the President within 2 years of enactment and enforcement of the **Constitution of India** and thereon every 5th year or at such earlier time as he considers necessary. *According to Article 281 the President lays down the report of the Finance Commission before both the houses of the Parliament along with an explanatory memorandum as to the actions taken on its **recommendations**.

*In 1983 the Central Government appointed a three-member Commission on centre-state Relations under the Chairmanship of **R.S. Sarkaria** a retired Judge of the Supreme Court. Hence the name Sarkaria Commission was given. **B. Shivraman and S.R. Sen** were the other two members of this Commission. The final Report was submitted in January, 1988 (report contained 247 recommendations spreading over 19 chapters). ***Rajamannar Committee** and **Punchhi Commission** are also associated with Centre-State relations.

1. The Centre-State relations in India are influenced by:
 1. Provisions of the Constitution
 2. The Planning process
 3. Conflict of Political interests
 4. The dominance of desire to dictate

Select the correct answer from the codes given below:

- (a) 1 and 2 (b) 2, 3 and 4
(c) 2, 4 and 5 (d) 1, 2, 3 and 4

Uttarakhand P.C.S. (Pre) 2002

Ans. (d)

Part XI of the Indian Constitution deals with the relation between the Union and the States. In India, the planning process is done by the Union, so it is seen that in the case of different political party governments at the Center and State there is a conflict of interest and there is a desire to dominate which ultimately hampers the growth of the country.

2. Centre-State relations in India are dependent upon –
 1. Constitutional provisions
 2. Conventions and practices
 3. Judicial interpretations
 4. Mechanisms for dialogue

Select the correct answer from the codes given below:

Code :

- (a) 1 and 2 (b) 1, 2 and 3
(c) 2, 3 and 4 (d) All the four

U.P.P.C.S. (Pre) 2009

Ans. (d)

The Center-State relations in India are dependent upon all the given factors i.e. Constitutional provisions, Conventions and Practice, Judicial interpretations and Mechanisms for dialogue.

3. A Federal policy involves –
 1. Relations between Union & State
 2. Relations among States
 3. Mechanism for cooperation
 4. Mechanism for solving disputes

Select your correct answer from the code given below:

Code :

- (a) 1, 2, 3 and 4 (b) Only 1, 2 and 3
(c) Only 1, 2 and 4 (d) Only 2, 3 and 4

U.P.P.C.S. (Mains) 2010

Ans. (a)

All the four are included in federal policy, i.e., relations between the Union and States, Relations among States, Mechanism of resolving disputes and Mechanism for cooperation.

4. In which respect have the centre-state relations been specifically termed as municipal relation –

- (a) Centre's control of the state in the legislative sphere.
(b) Centre's control of the state in financial matters.
(c) Centre's control of the state in the administrative sector.
(d) Centre's control of the state in the planning process.

I.A.S. (Pre) 1994

Ans. (d)

The Centre's control over the states in the planning process has been termed as '**Municipal Relations**'. It promotes relationships and strategic partnerships between different levels of government, as well as relationships with non-governmental organizations at all levels also. This is for all the citizens and communities in which they are living to support their well-being by efficient and effective policies and programs.

5. In the Indian Fiscal federal system resources are allocated from the centre to the states, which of the following is not a means of resource allocation at present?

- (a) Grant-in-aid
(b) Centrally sponsored schemes
(c) Transfer for plan implementation under Gadgil formula
(d) Tax sharing

Jharkhand P.C.S. (Pre) 2021

Ans. (c)

In the Indian Fiscal Federal System, resources are from the Centre to the State. Transfer for plan implementation under the Gadgil formula is not a means of resource allocation at present. As per Article-280, the finance commission is constituted to make recommendations to the president about the distribution of net proceeds of taxes between the Union and States (tax sharing) the centrally sponsored schemes and Grant in aid are also a means of resource allocation from centre to states.

6. Which of the following parts of the Indian Constitution deals with the relations between the Union and the State?

- (a) Part-3 (b) part-4
(c) Part-6 (d) Part-11

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Ans. (d)

Part XI of the Indian Constitution deals with the Relations between the Union and the States. The Provisions of the part are divided into two parts,

- (i) Legislative Relations (Article 245-255)
(ii) Administrative Relations (Article 256-263)

Part-3 is the 'Fundamental Rights', Part-4 is the 'Directive Principles of State Policy' and Part-6 is the States'.

7. In which part of the Indian Constitution, legislative relations between Centre and States are given?

- (a) Part X (b) Part XI
(c) Part XII (d) Part XIII

U.P.P.C.S. (Spl) (Mains) 2004

U.P.R.O./A.R.O. (Pre) 2014

Ans. (b)

The legislative relations between the Centre and States are given in Part XI of the Indian Constitution under Article 245-255. Legislative subjects have been distributed among three lists of the seventh schedule

Union List – 97 subjects (At Present – 98)

State List – 66 subjects (At Present – 59)

Concurrent list – 47 subjects (At Present – 52)

8. Indian Constitution presents three lists for the distribution of power between centre and states. Which two Articles regulate that distribution?

- (a) Article 4 and 5 (b) Article 56 and 57
(c) Article 141 and 142 (d) Article 245 and 246

U.P.U.D.A./L.D.A. (Pre) 2001

Ans. (d)

Article 245 describes the extent of laws made by Parliament and by the Legislatures of States. According to Article 246(1)-Parliament has exclusive power to make laws with respect to any of the matters enumerated in List-I (Union List) in the Seventh Schedule. As per Article 246(2), Legislature of any State also, has the power to make laws with respect to any of the matters enumerated in List III in the Seventh Schedule and according to Article 246(3), Parliament has the power to make laws with respect to any matter for any part of the territory of India not included (in a State) notwithstanding that such matter is a matter enumerated in the State List. Thus option (d) is correct.

9. The distribution of legislative powers between the Centre and the States in the Constitution is given in –

- (a) Sixth Schedule (b) Seventh Schedule
(c) Eighth Schedule (d) Ninth Schedule

U.P.P.C.S. (Pre) 1993

U.P. Lower Sub. (Pre) 2008

Ans. (b)

According to Article 246 of the Indian Constitution, all the provisions regarding relations between the Centre and States lie in the 7th Schedule of the Indian Constitution.

10. Subjects on which centre and state both can make law are mentioned in which of the following Lists?

- (a) Union list (b) State list
(c) Concurrent list (d) Residual list

U.P.U.D.A./L.D.A. (Pre) 2006

Ans. (c)

The Union and the State can make laws on the subjects mentioned in the Concurrent list, but if there is any conflict in the laws made by the Union and State, the law made by the Union shall prevail.

11. Which of the following is empowered to make law for economic and social planning besides the infants and minors in India?

- (a) Only the Central Government
(b) Only the State Government
(c) Both the Central and State Governments
(d) Only the Local Governments

U.P. B.E.O. (Pre) 2019

Ans. (c)

Economic and Social Planning and infants and minor subjects are on the Concurrent List. Both the Central and State Governments have the right to make laws on subjects of concurrent list. Thus, option (c) is the correct answer.

12. Who is vested with the residuary powers in Indian Constitutions?

- (a) President (b) State
(c) Central Cabinet (d) Parliament

U.P.P.C.S. (Pre) 1991

Ans. (d)

According to Article 248 of the Indian Constitution, all the residuary legislative powers have been provided to the Parliament. Although, these are often provided to States in other federal set, up as in the case of the U.S.A.

13. What are Residuary subjects?

- (a) Subjects included in the State list
- (b) Subjects included in the Concurrent list
- (c) Subjects not included in any list
- (d) Subjects included in the Union list

Chhattishgarh P.C.S. (Pre) 2024

Ans. (c)

Residuary subjects refer to matters that are not specifically mentioned in the Union List, State List, or Concurrent List under the Seventh Schedule of the Indian Constitution. These subjects emerge due to changing circumstances, advancements in technology, or new policy needs. According to Article 248, the Parliament of India has exclusive power to legislate on these matters, meaning only the Union Government can make laws regarding them. Examples of residuary subjects include cyber laws, space research, atomic energy, artificial intelligence regulations, and foreign trade policies, as these areas were not foreseen when the Constitution was drafted. As new challenges arise, Parliament retains the authority to govern such subjects.

14. The Indian Constitution vests the residuary powers with:

- (a) The Union Government
- (b) The State Governments
- (c) Both the Union as well as State Governments
- (d) Neither the Union nor the State Governments

U.P.P.C.S. (Pre) 1995

Ans. (a)

The Indian Constitution gives the residuary power of legislation to the Union Government. The Indian Union reflects the example of a strong Union where the residuary powers of legislation rest with the Parliament.

15. Article 249 of the Indian Constitution deals with

- (a) Emergency Power of the President
- (b) Dissolution of the Lok Sabha
- (c) Administrative Power of the Parliament
- (d) Legislative Powers of the Parliament with respect to subjects in the State List

U.P.P.C.S. (Mains) 2009

Ans. (d)

Article 249 of the Indian Constitution is related to the legislative powers of the Parliament with respect to subjects in the State List in the national interest. This Article empowers the Parliament to make laws with respect to any matter enumerated in the State List.

16. A resolution passed under clause (1) of Article 249 shall remain in force for a period not exceeding

- (a) One month
- (b) Three months
- (c) Six months
- (d) One year

U.P.P.C.S. (Pre) 2016

Ans. (d)

According to Article 249(2), a law made by the Parliament after a resolution passed under Article 249(1) by the Council of State shall remain in force for such period not exceeding one year.

17. A resolution passed by the Rajya Sabha under Article 249 of the constitution empowering Parliament to legislate on a state subject in national interest remains in force for a period.

- (a) Not exceeding six months
- (b) Not exceeding two years
- (c) Not exceeding one year
- (d) of unlimited time

U.P.P.C.S. (Pre) 2017

Ans. (c)

A resolution passed by the Rajya Sabha under Article 249 of the Constitution empowering Parliament to legislate on a state subject in national interest remains in force for a period not exceeding one year. [Article 249 (2)].

18. Which Article among the following says that Indian Constitution provisions about interstate relation?

- (a) Article 262
- (b) Article 263
- (c) Article 264
- (d) Article 265

U.P. Lower Sub. (Pre) 2009

Ans. (b)

Article 263 of the Indian Constitution empowers the President of India to establish an Inter-State Council to co-ordinate the relationship between the Centre and States and also among States.

19. An inter-state council may be established by :

- (a) The Parliament
- (b) The President
- (c) The National Development Council
- (d) The Zonal Council

Chhattisgarh P.C.S. (Pre) 2019

Ans. (b)

See the explanation of the above question.

20. What is the source of Inter-State councils?

- (a) Constitution
- (b) Parliamentary laws

- (c) Recommendation of Planning Commission
(d) Approved Resolution by CM

U.P.P.C.S. (Pre) 2000

Ans. (a)

See the explanation of the above question.

21. Who among the following is empowered to establish the Inter-State council?

- (a) Parliament (b) President
(c) Speaker of Lok Sabha (d) Prime Minister

U.P.P.C.S. (Pre) 2017

Ans. (b)

The Inter-state council was established under Article 263 of the constitution of India through a Presidential order dated 28th May, 1990. The council consists of-
Prime Minister - Chairman
Chief Ministers of all states - Members
Chief Ministers of Union Territories having a Legislative Assembly and Administrators of UTs not having a Legislative Assembly - Members
Six ministers of Cabinet rank in the Union Council of Ministers to be nominated by the Prime Ministers - Members.

22. Under which of the following Articles of the Constitution, Inter State Council has been constituted?

- (a) Article 360 (b) Article 263
(c) Article 365 (d) Article 368

Uttarakhand P.C.S. (Pre) 2024

Ans. (b)

The Inter-State Council (ISC) is constituted under Article-263 of the Indian Constitution. It includes the Prime Minister (Head), 6-Central Cabinet Ministers, Chief Ministers of all the States and the Administrators of the Union Territories. The Council is constituted by President by an order. The first ISC was constituted in December, 1990.
The Article 365 is - Effect of failure to comply with, or to give effect to, directions given by the Union. The Article 360 is - Provisions as to financial emergency, and the Article 368 contains provision for the amendment in the constitution.

23. Which of the following is/are extra-constitutional and extra-legal device(s) for securing cooperation and coordination between the States in India?

1. The National Development Council
2. The Governor's Conference
3. Zonal Councils
4. Inter-State Council

Code :

- (a) 1 and 2 (b) 1, 3 and 4
(c) 3 and 4 (d) 4 only

I.A.S. (Pre) 1995

Ans. (a)

The National Development Council and the Governor's conference are an extra-Constitutional and extra-legal institution. However, Zonal Councils are statutory bodies as they have been established under the provisions of the Parliamentary act. The provision related to inter-state Council is enumerated in Article 263 of the Indian Constitution.

24. The regional councils are constituted by-

- (a) Constitution
(b) Parliamentary Laws
(c) Resolution of Government
(d) National Development Council

U.P.P.C.S. (Pre) 2000

Ans. (b)

Parliament Act- 1956 formed 5 regional Councils namely – North, South, Central, East and West. The Sixth Regional Council North East was formed in 1971. Home Minister is the Chairman of every Council.

25. Who among the following chairs the Zonal Council?

- (a) Prime Minister of India
(b) Home Minister of India
(c) Chief Ministers of the zones in rotations
(d) Finance Minister of India

Uttarakhand P.C.S. (Pre) 2021

Ans. (b)

See the explanation of the above question.

26. Which one of the following is not a feature of a zonal council?

- (a) It is a constitutional body
(b) Five Zonal Councils have set up under the State Reorganisation Act, 1956
(c) Chandigarh although not a state, is included in Zonal Council
(d) It is an Advisory body

U.P.P.C.S. (Pre) 2017

Ans. (a)

The zonal councils have been set up under the State reorganization Act, 1956 to advice on matters of common interest to each of the five zones into which the territory of India has been divided. Zonal councils are not constitutional bodies rather they are statutory bodies. Originally five zonal Councils were formed as per the States Reorganisation Act, 1956.

They are -

Northern Zonal Council

Central Zonal Council

Eastern Zonal Council

Western Zonal Council

Southern Zonal Council

The North Eastern states i.e. (i) Assam (ii) Arunachal Pradesh (iii) Manipur (iv) Tripura (v) Mizoram (vi) Meghalaya and (vii) Nagaland are not included in the zonal council and their special problems are looked after by the North Eastern Council, setup under the North Eastern Council Act, 1971. Chandigarh, although not a state, is included in zonal council. Similarly Delhi, Dadra & Nagar Haveli and Daman & Diu and Puducherry have also been included in the zonal councils.

27. With reference to the regional councils in India, which of the following statements is/are correct?

- 1. The councils act as 'Sub-Federal Links' of Indian Federal System.**
- 2. The councils pave the way for co-operation and integration among the states in Indian federal system.**

Select the correct answer from the code given below :

- (a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Chhattisgarh P.C.S. (Pre) 2019

Ans. (c)

The regional councils serve as the 'Sub-Federal Links' in the Indian Union System. It provides a better platform, where the centre and the states and the mutual invalidations of the States can be resolved through free and fair discussions and consultations. It is a regional platform for collaborative efforts for economically, politically and culturally interconnected states. It is capable of focusing on specific matters involving regional aspects and keeping the national perspective in mind.

28. The North Eastern Council (NEC) was established by the North Eastern Council Act, 1971. Subsequent to the amendment of NEC Act in 2002, the Council comprises which of the following members?

- 1. Governor of the Constituent State**
- 2. Chief Minister of the Constituent State**
- 3. Three Members to be nominated by the President of India**
- 4. The Home Minister of India**

Select the correct answer using the code given below:

- (a) 1, 2 and 3 only (b) 1, 3 and 4 only

(c) 2 and 4 only

(d) 1, 2, 3 and 4

I.A.S. (Pre) 2024

Ans. (a)

The North Eastern Council (NEC) is the nodal agency for the economic and social development of the North Eastern Region which consists of the eight States of Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim and Tripura. NEC was established by North Eastern Council Act, 1971 initially as apex-level Advisory Body, for securing balanced and coordinated development and facilitating effective co-ordination amongst seven States of North Eastern Region. Subsequent to the amendment of NEC Act in December, 2002, Sikkim was added as 8th Member State, and NEC was mandated to function as a statutory Regional Planning Body for the North Eastern Region. As per the amended sub-section (1) of section 3 of the NEC Act, now the Council comprises of Governors and Chief Ministers of constituent States as members and three members to be nominated by the President of India. As per the amended sub-section (3) of section 3 of the NEC Act, the President shall nominate the Chairman of the council (and he need not be nominated from amongst the other members). The President may also nominate a member of the council to act as Vice-Chairman of the Council. At present, as nominated by the President (by the notifications dated 7 July, 2018 and 24 August, 2021 respectively), the Union Home Minister is ex-Officio Chairman and the Minister, Development of North Eastern Region (DoNER) is the ex-Officio member and Vice-Chairman of the NEC.

Hence, option (a) is the correct answer.

29. When was the Jharkhand Area Autonomous Council formed?

- (a) 8 August, 1993 (b) 8 August, 1994
(c) 8 August, 1995 (d) 8 August, 1996

Jharkhand P.C.S. (Pre) 2011

Ans. (c)

Jharkhand Area Autonomous Council, formed on 8 August, 1995, comprised 18 districts of Santhal Pargana and Chota Nagpur.

30. Which of the following is not matched properly?

- (a) Union Parliament's power of adjudication in Inter-State water dispute - Article 262 of the Constitution
(b) Inter-State Water Dispute Act, 1956
(c) River Boards Act, 1970
(d) National Water Policy, 1987

U.P.P.C.S. (Spl) (Mains) 2004

Ans. (c)

Option (c) is not correctly matched. River Boards Act was enacted and came into force in 1956, not in 1970. All the other options are correctly matched.

31. Sarkaria Commission was set up to review –

- (a) The relations between the President and the Prime Minister
- (b) The relations between the Legislature and the Executive
- (c) The relations between the Executive and the Judiciary
- (d) The relations between the Union and the States

U.P.P.C.S. (Mains) 2006

U.P.P.C.S. (Pre) 2008

U.P.P.C.S. (Pre) 2016

Ans. (d)

To consider the relationship between the Union and State and to give suggestions to strengthen it, a commission was formed under the Chairmanship of Justice R.S. Sarkaria on 9 June, 1983. B. Shivaraman and S.R. Sen were the other two members of this Commission. This Commission submitted its report in January, 1988.

32. Who among the following as a member of Sarkaria Commission?

- (a) V. Shankar
- (b) K. Hanumanthaiah
- (c) Dr. S.R. Sen
- (d) O. V. Algesan

U.P.P.C.S. (Pre) 2017

Ans. (c)

See the explanation of the above question.

33. In which one of the following years was Sarkaria Commission, which was empowered to recommend changes in Centre-State relations submitted its report?

- (a) 1983
- (b) 1984
- (c) 1985
- (d) 1987
- (e) None of the above/More than one of the above

B.P.S.C. (Pre) 2018

Ans. (e)

See the explanation of the above question.

Note : Answer was given by Bihar Public Service Commission as option (d), which is not correct.

34. The recommendations of the Sarkaria Commission are related to:

- (a) Distribution of revenue
- (b) Powers and functions of President

(c) Membership of the Parliament

(d) Centre-State relations

U.P.P.C.S. (Pre) 2018 ,

U.P.R.O./A.R.O. (Pre) 2014

U.P.P.C.S. (Mains) 2003, 2004

Jharkhand P.C.S. (Pre) 2003

Ans. (d)

See the explanation of the above question.

35. Given below are two statements one is labelled as Assertion (A) and the other is labelled as Reason (R).

Assertion (A) : Sarkaria Commission recommended that Article 356 should be sparingly used.

Reason (R) : The political parties that came to form the Government at the Centre misused Article 356.

Code :

- (a) (R) is true, but (A) is false.
- (b) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
- (c) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (d) (A) is true, but (R) is false.

R.A.S./R.T.S. (Pre) (Re. Exam.) 2013

Ans. (c)

The Sarkaria Commission was established in 1983 to consider and give recommendations on Centre-State relations. In its recommendation, the Commission suggested that exercise of Presidential Rule must be in rare or exceptional cases. Commission had expressed its view that Article 356 had been misused several times. Often, the declaration of President's Rule was made without considering other provisions. Thus Assertion (A) and Reason (R), are both correct and (R) is the correct explanation of (A).

36. Which Commission advocated the establishment of a Permanent Inter-State Council, called 'Inter-Governmental Council'?

- (a) Punchhi Commission
- (b) Sarkaria Commission
- (c) Radhakrishnan Commission
- (d) Moily Commission

Jharkhand P.C.S. (Pre) 2013

Ans. (b)

The Sarkaria Commission recommended the establishment of a Permanent Inter-State Council in its report. On the recommendation of this report, in May, 1990 under Article 263 of the Constitution, by the President's assent, an inter-state council was formed that was to be headed by the Prime Minister.

37. Which one of the the following Commission did recommend the establishment of an Inter- Government Council in place of Inter-State Council?

- (a) Rajmannar Commission
- (b) Punchhi Commission
- (c) Administrative Reforms Commission, 1969
- (d) Sarkaria Commission
- (e) Question not attempted

Raj. P.C.S. (Pre) 2023

Ans. (d)

In order to achieve cooperation between the States and the Centre, Article 263 of the Constitution considers the creation of an Inter-State Council. Therefore, the President may create such a council whenever he feels that doing so would be in the best interests of the general public. The Sarkaria Commission on Centre-State Relations (1983-88) recommended for the establishment of a permanent Inter-State Council under Article 263 of the Constitution. It suggested that the Inter-State Council should be referred to as the Inter-Governmental Council to distinguish it from other organisations founded under the same Article 263. In pursuance of the recommendations of the Commission, the Janata Dal Government headed by V. P. Singh established the Inter-State Council in 1990. It consists of the following members: (i) Prime minister as the Chairman (ii) Chief ministers of all the states (iii) Chief ministers of union territories having legislative assemblies (iv) Administrators of union territories not having legislative assemblies (v) Governors of States under President's rule (vi) Six Central cabinet ministers, including the home minister, to be nominated by the Prime Minister. The council is a recommendatory body on issues relating to interstate, Centre-State and Centre-Union territories relations.

38. On the recommendation of which Commission/ Committee, the Inter-state Council was set up in India?

- (a) Punchhi Commission
- (b) Rajmannar Committee
- (c) Kothari Committee
- (d) Sarkaria Commission

U.P.P.C.S. (Pre) 2021

Ans. (d)

The Union Government, constituted a Commission in 1983 under the Chairmanship of Justice R.S. Sarkaria to review the working of the existing arrangements between the Union and the States. One of the important recommendations of the Sarkaria Commission was to establish a permanent Inter-State Council as an independent national forum for consultation with a mandate well-defined in accordance with Article 263 of the Constitution of India.

39. Which one of the following is not related to Union-State relations in India?

- (a) Sarkaria Commission
- (b) Rajmannar Committee
- (c) Indrajit Gupta Committee
- (d) Punchhi Commission

U.P.P.C.S. (Pre) 2015

Ans. (c)

Indrajit Gupta Committee was established in 1998 to recommend on state funding of elections, while other three committees were related to Union-State relation in India. The Gupta Committee recommended that state funds should be given to only national and state parties allotted a symbol and not to independent candidates. The commission also suggested that the fund should be given in the form of certain facilities.

40. Given below are two statements, one labelled as Assertion (A) and other labelled as Reason (R) .

Assertion (A) : There has been a growing demand for a review of Centre-State relationship.

Reason (R) : The States have no adequate resources to take up developmental projects.

In the light of above two statements, which one of the following is correct?

Code :

- (a) Both (A) and (R) are individually true and (R) is the correct explanation of (A)
- (b) Both (A) and (R) are individually true, but (R) is not the correct explanation of (A).
- (c) (A) is true, but (R) is false.
- (d) (A) is false, but (R) is true.

U.P.P.C.S. (Pre) 2007

Ans. (a)

Both (A) and (R) are correct and (R) is the correct explanation of (A). In the Union of India, the Central Government is more empowered than the State Governments. Although the financial resources are divided between the Centre and States and among States, the Centre has more resources than the States. The States do not have sufficient resources and have to be dependent on Centre. This is why there has been a growing demand for a review of Centre-State relationship. So option (a) is correct.

41. Given below are two statements, one labelled as Assertion (A) and the other as Reason (R) :

Assertion (A) : The Executive powers of the State are exercised to ensure the compliance of the law of the Parliament and the laws applied in the State.

Reason (R) : The government of India can give necessary direction to the states by using its executive powers.

Select the correct answer from the codes given below:

Codes :

- (a) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (b) Both (A) and (R) are true but (R) is not the correct explanation of (A).
- (c) (A) is true but (R) is false.
- (d) (A) is false but (R) is true.

U.P. R.O./A.R.O. (Pre) (Re-Exam) 2016

Ans. (a)

According to the Article 256, the executive power of every State shall be so exercised as to ensure compliance with the laws made by Parliament and any existing laws which apply in that State, and the executive power of the Union shall extend to the giving of such directions to a state as may appear to the Government of India to be necessary for that purpose. Thus, both statements (A) and (R) are true and (R) is the correct explanation of (A).

42. Which Article of the Indian Constitution describes "The Executive power of every State shall be so exercised as not to impede or prejudice the exercise of the Executive power of the Union."

- (a) Article 257
- (b) Article 258
- (c) Article 355
- (d) Article 356

Jharkhand P.C.S. (Pre) 2011

Ans. (a)

According to Article 257(1) of the Indian Constitution, the executive power of every State shall be so exercised as not to impede or prejudice the exercise of the executive power of the Union; The executive power of the Union shall extend to giving such direction to states as may appear to Government of India necessary for that purpose.

43. Which Part of the Constitution of India describes the financial relations between Centre and States?

- (a) Part X
- (b) Part XI
- (c) Part XII
- (d) Part XIII

U.P. B.E.O. (Pre) 2019

Ans. (c)

Originally, the Indian Constitution had 22 Parts. Some parts are as follows:

Part X - The Scheduled and Tribal Areas

Part XI - Relations between the union and the states

Part XII - Finance, Property, Contracts and Suits

Part XIII - Trade, Commerce and Intercourse within the Territory of India.

Thus, the correct answer is option (c).

44. The financial relations between the Union Government and States have been discussed under –

- (a) Article 168 to 171
- (b) Article 268 to 281
- (c) Article 278 to 291
- (d) Article 289 to 295

U.P.P.C.S. (Pre) 2014

Ans. (b)

Distribution of Revenues between the Union Government and States is provided under Article 268 to Article 281 of the Indian Constitution. These articles consist of provisions for Duties and Taxes levied by the Union; Grant-in-aid, constitution and Function of the Finance Commission etc.

45. Under which Article of the Constitution of India, Taxes are levied and collected by the centre but distributed between the centre and the States?

- (a) Article 268
- (b) Article 269
- (c) Article 270
- (d) Article 271

Jharkhand P.C.S. (Pre) 2016

Ans. (c)

According to Article 270 of the Indian Constitution, Taxes on income other than agricultural income are levied and collected by the government of India and distributed between the Union and the States.

46. Which one of the following taxes is imposed and charged by the Union, but is divided into Union and the States?

- (a) Corporation Tax
- (b) Taxes on items except for agriculture income

- (c) Taxes on railway fares and freights
- (d) Custom

U.P. U.D.A./L.D.A. (Pre) 2006

Ans. (*)

Article 270 deals with the taxes or duties that are levied and collected by the Union but proceeds thereof are divided between Union and State. Presently all taxes and duties referred to in the union list, except the duties and taxes referred to in Article 268, 269 and 269A is imposed and charged by the union, but divided into the union and the states.

47. Consider the following statements -

In India, stamp duty on financial goods deals are -

- 1. imposed and collected by state government**
- 2. regulated by the union government**

Which of the following is/are correct?

- (a) only 1
- (b) only 2
- (c) both 1 and 2
- (d) none of these

I.A.S. (Pre) 2003

Ans. (d)

According to Article 268, stamp duty on financial goods deals are imposed by the Union Government but collected and appropriated by the State Government.

48. Consider the following statements-

In India taxes on transactions in Stock-Exchanges and Futures Markets are -

- 1. Levied by Union.**
- 2. Collected by the State Government.**

Code :

- (a) Only 1
- (b) Only 2
- (c) Both 1 and 2
- (d) Neither 1 nor 2

U.P.P.C.S. (Mains) 2006

Ans. (a)

The seventh Schedule of the Constitution is for the distribution of powers between the Union and the States. There are 3 lists under this- Union List, State List and Concurrent List. According to the question, the tax imposed on the stock market and futures market belongs to the Union List. However, under Article 270 of the Constitution, such taxes are levied and collected by the union but assigned to the states.

49. Under constitutional provision of tax assignment in India, which of the following is a tax exclusively imposed and collected by the states?

- (a) Income Tax
- (b) Land Revenue
- (c) Corporation Tax
- (d) GST

Jharkhand P.C.S. (Pre) 2021

Ans. (b)

Land Revenue is a tax exclusively imposed and collected by the states. Land Revenue is included in the state list of the seventh schedule of Indian constitution under entry 45. Entry 45 includes Land revenue, including the assessment and collection of revenue, the maintenance of land records, survey for revenue purposes and records of rights and alienation of revenues.

50. Provision for Descretionary Grant which may be given by Central government to States is given under which Article of the Constitution?

- (a) Article 275
- (b) Article 281
- (c) Article 282
- (d) Article 228

Chhattisgarh P.C.S. (Pre) 2022

Ans. (c)

According to the Indian Constitution Article 282 the union or a state may take any grants for any public purpose, not with standing that the purpose is not one with respect to which parliament or legislature of the state, as the case may be, may make laws.

51. Is a State of the Indian Union empowered under the Constitution to take foreign loans directly?

- (a) Yes
- (b) No
- (c) Yes, but from international organizations only
- (d) Yes, but only with the permission of the Reserve Bank of India

U.P.P.C.S. (Mains) 2012

Ans. (b)

According to Article 293 (1), the executive power of a State extends to borrowing within the territory of India upon the security of the Consolidated Fund of the State within such limits, if any, as may from time to time be fixed by the Legislature of such State by law and to the giving of guarantees within such limits. So it is obvious under the Constitution of India that the State cannot obtain foreign loans directly.

52. Agriculture Income Tax is assigned to the State Government by-

- (a) The Finance Commission
- (b) The National Development Council
- (c) The Inter-State Council
- (d) The Constitution of India

I.A.S. (Pre) 1995

Ans. (d)